SALES MANAGER ESSENTIALS

Sales Manager Essentials — Day 2: Target Planning and Resource Allocation

Study guide · Self-study

Day 2: Target Planning and Resource Allocation

How to Use This Guide

This guide is for you if you already sell, or already supervise sellers, and now own the number. Day 1 gave you the sales direction: a short list of priorities, the markets and channels that matter, and the growth trade-offs you are willing to make. Today you turn that direction into a number and a distribution. A target your team cannot trace back to evidence and capacity is just a wish with a date attached.

Work alone and write as you go. Every exercise asks for your own assumptions, in your own words. When you reach "What Would You Say?", write your answer before you look at the model answers at the end. The models are examples, not scripts. What matters is the principle behind each one.

Keep one page open for the whole day: the allocation you build in the Upskill Challenge. You will defend it in writing, and that defense is the real output of this unit.

Today's Objectives (KASU)

Knowledge: You will know how to set a sales target from historical evidence, market context and team capacity, and how to split it across teams, territories, channels or segments with the assumptions written down.

Attitude: You will treat a target as a documented decision rather than a figure handed down, and accept that defending your assumptions openly is part of the job.

Skill: You will be able to allocate a target across several channels, name the owner of each slice, and set review points where the allocation is re-examined.

Upskill: You will be able to present an allocation to a senior stakeholder and defend every assumption without retreating to ambition or optimism.

Start From Evidence, Not Ambition

Most target-setting fails at the same point. Someone takes last year's number, adds a growth percentage that sounds inspiring, and hands it out. The team hears a figure with no story behind it, and the figure starts to feel arbitrary. The psychology matters here. A number that arrives without reasoning creates what buyers of any idea experience as a trust gap: people cannot check the logic, so they stop believing the target and start negotiating with it. A number built in front of them from evidence is easier to accept even when it is higher, because they watched it being made.

So build the target from three inputs, in this order.

Historical evidence. What did each channel, territory or segment actually deliver over the last few comparable periods? Not the best month, not the average of a boom year. Write down the numbers and the period they cover. Past behavior is the least flattering and most useful evidence you have. Fitzpatrick's point in The Mom Test applies to your own team's data as much as to client conversations: trust what happened, not what people say about what will happen.

Market context. What is changing outside your team? A new competitor, a channel that is shrinking, a segment that is opening up. Day 1 mapped these. Here you only ask: does the context support

growth in this channel, flat performance, or decline? Write it as a sentence your team could read and check.

Team capacity. How many sellers, how much selling time, and what can they realistically carry? Capacity is not a headcount. A new hire ramping up, a territory with long travel, a channel that needs heavy pre-sales support: each changes what a person can deliver. Assume what you must, but label it as an assumption.

When these three disagree, that disagreement is the conversation. Evidence says the channel grew; context says the market is tightening; capacity says two sellers are leaving. Your target should sit where you can defend the arithmetic, and your notes should show where you made a judgment call.

Behavioral drift is the risk to watch in yourself. Under pressure from above, you may feel the pull to fast-talk a number, agree to an ambitious figure to keep the room happy, and sort out the details later. Your team will sense that instantly, and the target loses its authority. Slow down. Show the inputs. Say what you assumed. Then present the number.

Split the Number With Stated Assumptions

A target is one number. An allocation is a set of numbers with owners and reasons. The moment you split a target across channels, territories, segments or teams, you make assumptions, whether you admit it or not. Writing them down is what separates planning from guessing.

Work in four steps.

First, choose the split dimension that matches how you actually sell. Some teams are organized by territory, some by channel, some by segment or account size. If you sell through several channels, split by channel first, then by team or territory inside each. A split that ignores how work really flows produces slices no one can own.

Second, allocate with a stated logic for each slice. Each slice needs a base: what it delivered before, adjusted for a market factor you can name, adjusted for a capacity factor you can name. Write it as a sentence. "This channel delivered a certain share of last year's revenue on a stable sales headcount, and we expect it to hold that share because no staffing change is planned." That sentence is defensible. "This channel should do more because we need growth" is not.

Third, name the owner of every slice. One person, by name or by role, who owns the number and knows they own it. Shared ownership is no ownership. This is the moment where your allocation stops being a spreadsheet and becomes accountability.

Fourth, write the assumption behind each slice on the same line as the number. If you assumed a certain ramp time for a new hire, or a certain conversion rate holding steady, say so. Then anyone reviewing the plan can challenge the assumption rather than the ambition.

One psychological trap here: anchoring on last year's total. The initial number pulls every judgment toward it, even when it is a poor starting point. Ask yourself what the allocation would look like if you built it bottom-up from channel evidence and capacity alone, then compare. If the two are close, good. If they are far apart, find out why before you commit.

Set Review Points Where the Allocation Can Change

An allocation is a forecast, and forecasts are wrong. The mature response is not to defend the original split to the end. It is to say, up front, when and how the split will be re-examined. This does two things. It gives the team permission to flag problems early rather than hide them until the end of the period. And it protects you from the trap of sticking with a bad allocation to look consistent.

Set review points at natural decision moments. The end of a ramp period. The point where a seasonal shift is expected. The moment a major market change would show up in the numbers. At each point, state in advance what you will look at: not activity counts alone, but whether the evidence behind each slice is still holding.

Also fix what a review point is allowed to change. Sometimes you re-split the target between slices. Sometimes you hold the target and change resources. Sometimes the honest conclusion is that the total was wrong and needs revisiting with the people who set it. Say which of these is on the table, so no one assumes the total is sacred or, worse, negotiable every week.

The psychology of commitment matters here. When people have publicly owned a slice, they will work hard to be consistent with that commitment. Small early wins make the commitment stronger. That is useful, as long as the commitment is to the outcome and to honest reporting, not to hiding bad news. Make it clear that flagging a problem in time is a success, not a failure. A manager who shoots the messenger teaches the team to stay quiet, and then reviews become theatre.

Practice: Allocating a Target Across Channels

This exercise uses a fictional company. Work it on paper.

Practice example: A software company sells through (1) a direct field sales team, (2) an inside sales team covering smaller accounts, and (3) a partner channel of resellers. Last year the split was 50 percent direct, 30 percent inside, 20 percent partners. Direct headcount is unchanged. Inside sales is adding two reps, with an assumed nine-month ramp. One large partner is expanding into a new region. The total target for next year is 12,000,000. A reasonable starting allocation: direct 5,600,000 (slightly lower share, no new headcount), inside 4,200,000 (higher share, driven by new reps after ramp), partners 2,200,000 (slightly lower share, new region still unproven). Each slice carries a written assumption and a named owner.

Now build your own version for your real business, or a fictional one. Write each slice, its base, its adjustment, its owner and its assumption. Then write one paragraph defending the whole allocation to someone who wants a higher total. If you cannot defend a slice, change it or say plainly that it is a judgment call.

> **NOTES**
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> Watch for the moment you want to raise a slice because the total needs to be higher. That is ambition talking. Go back to the base, the market factor and the capacity factor, and see if the evidence actually supports the increase.

Apply It in Your Role

If you manage a field team, your split is likely by territory. Build each territory's target from its own history and capacity, then compare the sum against the total you have been given. The gap is your conversation.

If you manage inside sales, your split is likely by segment or account size, and capacity is your main lever: call capacity, ramp time, attrition. State your assumed conversion rates openly so they can be checked.

If you manage channel or partner sales, your slice depends on partners whose effort you do not control. Allocate by partner where you can, name the partner manager as owner, and set review points where a partner's commitment is tested against real pipeline.

If you manage a retail or counter operation, split by location and shift, and treat footfall and conversion separately. Capacity here means floor time and staffing, not just headcount.

In every case, apply the same discipline: evidence, stated assumption, named owner, review point.

No sales manager role yet? Do the same task with a business you know well (a past employer or a chain you buy from), or with the practice examples in this guide.

What Would You Say?

Write your answer to each situation before reading the model answers.

1. A senior stakeholder says: "The board wants 20 percent growth. Just spread it across the channels equally." What do you say?

2. A team lead asks why their channel got a smaller slice than last year. What do you say?

3. Two weeks into the quarter, a slice is clearly off track. The owner wants to quietly lower their own number. What do you say?

> **NOTES**
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> The point of these three is the same in each case: show your logic, invite a check, and keep ownership clear. Do not retreat into ambition or into apology.

Key Takeaways

- A target is built from three inputs: historical evidence, market context and team capacity. Ambition alone is not an input.
- An allocation is a set of numbers with written assumptions and named owners. If an assumption is not written down, it cannot be challenged.
- Use the split dimension that matches how you actually sell, and treat capacity as more than headcount.
- Name one owner per slice. Shared ownership is no ownership.

- Set review points in advance, say what you will look at, and say what a review point is allowed to change.
- Reporting a problem in time is a success. A team that hides bad news turns reviews into theatre.
- Anchoring on last year's total is a trap. Build bottom-up and compare.

Quiz

Answer all five questions. Each has one best answer.

1. You are setting next year's target for a channel. Which input order fits this guide?

   A. Set the growth ambition first, then find evidence that supports it

   B. Start from historical evidence, adjust for market context, then check team capacity

   C. Start from headcount, then add a growth percentage set by leadership

   D. Start from the competitor's growth rate, then split evenly across channels

2. You split a target across three channels. What must every slice carry?

   A. A stretch factor to push the team

   B. A written assumption and a named owner

   C. A shared owner across two teams for flexibility

   D. A review date only at the end of the year

3. A senior stakeholder asks you to spread a 20 percent growth target equally across channels. What is the strongest response?

   A. Agree now and adjust the split quietly later

   B. Refuse and explain that equal splits never work

   C. Show the evidence-based allocation, state your assumptions, and invite a check against the context and capacity

   D. Accept the growth figure but not mention your own assumptions

4. What is the purpose of setting review points in advance?

   A. To give the team permission to flag problems early and to define what a review can change

   B. To create more meetings so the team stays visible

   C. To allow each owner to renegotiate their slice every week

   D. To protect the original split from any change

5. A channel owner is off track and wants to lower their own number quietly. What is the right move?

   A. Let them lower it to keep morale up

   B. Insist the number is sacred and refuse to discuss it

   C. Return to the written assumption, check it against current evidence, and decide together at the planned review point

   D. Raise another channel's number to cover the gap

Upskill Challenge

Before your next planning meeting, allocate a sales target across at least three channels, territories or segments in your real business, or in a realistic fictional case if your real numbers are not yet available. Produce one page with the following, each on its own line.

Channel or segment: ____

Base (what it delivered, and the period): ____

Market factor and its effect: ____

Capacity factor and its effect: ____

Target for this slice: ____

Owner: ____

Assumption in one sentence: ____

Review point and what will be examined: ____

Then write a defense paragraph of no more than 150 words, addressed to a senior stakeholder who wants a higher total. End with one open question that invites them to check your logic, such as "What would you need to see in the channel evidence to accept this split?" Complete the challenge before your next planning conversation.

Model Answers

These are examples, not scripts. Use your own words.

1. "I can build you a 20 percent path, but not by splitting it equally. Equal splits ignore what each channel can actually carry. Let me show you the evidence-based allocation first: here is what each channel delivered, here is the market context, here is the capacity. If the sum falls short of 20 percent, I will show you exactly where the extra growth would have to come from and what it would cost in resources. What would you need to see to accept that approach?"

Why it works: it does not refuse the ambition, it reframes the conversation around checkable logic, and it ends with an open question rather than a yes or no.

2. "Fair question. Last year this channel delivered a certain share on stable headcount, and this year a key seller is ramping, so its capacity is lower for part of the period. The slice reflects that, not a judgment on the team. Here is the assumption written down. If the ramp is faster than I assumed, we revisit at the review point. What would give you confidence that the assumption is right?"

Why it works: it shows the base, names the capacity factor, and keeps the door open at the planned review point.

3. "Quietly lowering your own number hides the problem from the people who need to see it. Let's go back to the assumption we wrote. Is it still true? If not, we bring it to the review point together and decide there. What would you need to see to keep the current number for now, and what would tell you it should change?"

Why it works: it protects honest reporting, returns to the written assumption, and keeps the owner accountable inside the process.

Quiz answers:

1. B. Evidence first, then context, then capacity keeps the target checkable and defensible.

2. B. A slice without a written assumption and a named owner cannot be challenged or owned.

3. C. Showing the logic and inviting a check is more persuasive than agreeing, refusing, or hiding your assumptions.

4. A. Review points exist to surface problems early and to fix what a review is allowed to change.

5. C. Go back to the written assumption and decide at the planned review point, not in a quiet side deal.

References

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Fitzpatrick, R. (2013). The Mom Test: How to Talk to Customers and Learn if Your Business Is a Good Idea When Everyone Is Lying to You. CreateSpace.